

**Time:** 5 minutes**Outcome:** Calculate Monopoly Profit, Loss & Shutdown.**Difficulty:** ●●○ Intermediate

Monopoly Profit, Loss & Shutdown



THE CORE IDEA

Monopoly profit or loss is measured after the profit-maximizing output and demand-based price have been found. The firm must cover avoidable variable cost. Output optimization and profit measurement are separate steps in monopoly analysis. Profit or loss equals $(P - ATC)Q$ at the chosen output.



HOW TO RECOGNIZE IT

- Choose monopoly output where rising marginal cost equals marginal revenue, then read price from demand.
- At that output, compare price with average total cost to determine profit or loss.
- Compare price with average variable cost to decide whether a loss-making monopolist operates in the short run.
- Measure profit or loss as the price-cost gap multiplied by output.

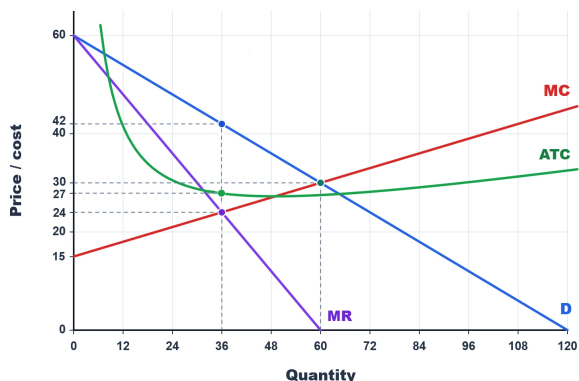


WATCH OUT

A common mistake is to mix output choice with profit measurement. Output optimization and profit measurement are separate steps in monopoly analysis. Profit or loss equals $(P - ATC)Q$ at the chosen output.



WORKED EXAMPLE: MONOPOLY PROFIT OR LOSS



The firm chooses 36 units where MR equals MC. At that output, demand gives a price of \$42 and ATC is \$27. Profit per unit is $\$42 - \$27 = \$15$, so total economic profit is $\$15 \times 36 = \540 .



CHECK YOURSELF

Why does $P > MC$ not prove positive economic profit?

**READY?**

Return to the game and master this concept.